

- RAG Learning

3.6 Managing Change

Business — Edexcel (9BS0) — Theme 3: Business decisions and strategy

Change is the one constant in business, and this topic draws Theme 3 together. It asks three questions: **what causes change** and what effects it has; **what determines whether change succeeds** — culture, size, speed and the handling of resistance; and **how firms prepare for change they cannot predict** through risk assessment, business continuity and succession planning. Answers score highly when they recognise that the same change can be an opportunity or a threat depending on how well prepared and how well led the business is.

Change management — the process of planning, implementing and controlling organisational change to achieve the intended results.

Transformational leadership — a leadership style in which the leader sets a compelling vision and inspires employees to change the organisation's direction and culture.

Incremental change — gradual, small-step change over time.

Radical (transformational) change — rapid, fundamental change to structure, culture or strategy.

Resistance to change — opposition from employees or other stakeholders to proposed changes.

Scenario planning — identifying possible future events (especially adverse ones), assessing their likelihood and impact, and preparing responses in advance.

Risk assessment — identifying hazards, estimating how likely and how damaging they are, and prioritising them.

Business continuity planning — preparing to keep critical operations running, or restore them quickly, after a disruption.

Succession planning — identifying and developing people to fill key roles when current holders leave.

1. Causes and effects of change (3.6.1)

Causes of change

Cause	Why it forces change	Example
Changes in organisational size	Growth requires new layers of management, formal systems, delegation and new premises; shrinking requires redundancies and restructuring	A founder-run start-up introducing an HR department and formal job roles; firms cutting jobs after rising costs in 2025
Poor business performance	Falling sales, profit or market share force cost-cutting, new strategy or new leadership	Tesco's turnaround under Dave Lewis from 2014 after an accounting scandal and loss of share to discounters; M&S's revival under Stuart Machin
New ownership	New owners bring new objectives, cultures and often cost-cutting or restructuring	After Elon Musk bought Twitter in October 2022 he cut the workforce by around 80% and renamed it X; private-equity takeovers of Morrisons and Asda
Transformational leadership	A new leader with a new vision changes strategy and culture	Satya Nadella at Microsoft (from 2014): cloud-first strategy and a collaborative "growth mindset" culture
The market and other external factors (PESTLE)	Changes the firm cannot control	P — 2025 US tariffs; E — interest-rate rises of 2022–23; S — shift to online shopping; T — generative AI; L — National Living Wage and employer NICs increases in April 2025; E — net zero targets and the ban on new petrol and diesel car sales from 2030

Possible effects of change

Area	Positive effects	Negative effects
Competitiveness	New products, lower costs and better processes strengthen the firm against rivals	Disruption during change lets rivals gain ground; a failed change weakens the brand
Productivity	New technology, better working methods, better-motivated staff raise output per worker	Short-term dip as staff learn new systems; uncertainty lowers morale and effort
Financial performance	Lower costs, higher revenue and profit in the long run	Up-front costs: redundancy pay, training, new equipment, consultants — short-term profit and cash flow fall
Stakeholders	Employees gain new skills; customers get better products; shareholders gain higher value	Job losses, changed conditions, closed sites hitting local communities; suppliers dropped

Exam Tip: Distinguish between the **short-run** and **long-run** effects of change: most change costs money and disrupts productivity before it delivers benefits. Saying “in the short term profit may fall because of redundancy and retraining costs, but in the long term...” is a simple, effective evaluative structure, and it links directly to short-termism in 3.4.

2. Key factors in change (3.6.2)

Organisational culture

- A culture that values innovation and learning (task culture) accepts change more readily than a bureaucratic, rule-bound one (role culture).
- A strong culture that supports the change speeds it up; a strong culture that opposes it is the biggest barrier, because values change more slowly than structures.
- In a power culture, change can be imposed quickly from the centre — but only if the leader backs it.

Size of organisation

Small organisations	Large organisations
Short lines of communication; the owner can explain change directly	Long chains of command slow communication and distort messages
Flexible; fewer procedures to rewrite	Many sites, departments and systems to change; more stakeholders to consult
Limited finance and expertise to fund change	Can afford consultants, new technology and training programmes
Each individual's resistance matters more	Can pilot changes in one division before rolling them out

Time and speed of change

- **Incremental change** gives time to consult, train and adjust; it causes less anxiety, but may be too slow when the market is moving fast.
- **Rapid change** is sometimes unavoidable (crisis, new technology, sudden legal change); it can overcome inertia but raises stress, mistakes and resistance.
- The speed chosen depends on the urgency (is the firm's survival at stake?), the resources available and how much resistance is expected.

Managing resistance to change

Why people resist: fear of job loss or reduced pay; loss of status, power or skills that are valued; uncertainty and fear of the unknown; comfort with existing routines (inertia); lack of trust in management; disagreement with the reasons for change; peer pressure.

Approach	When it is appropriate	Drawbacks
Communication and education — explain why change is needed, with evidence	Resistance comes from lack of information or misunderstanding	Time-consuming, especially with large workforces

Participation and consultation — involve staff in designing the change	Staff have useful knowledge; commitment is essential	Slow; staff may design a watered-down change
Support and training — retraining, counselling, time to adjust	Resistance comes from anxiety about new skills	Costly; may not work if jobs are genuinely lost
Negotiation and incentives — bargaining with trade unions; bonuses or pay rises for accepting change	A powerful group will clearly lose out	Expensive; encourages others to demand the same
Imposition (coercion) — managers force change through, using authority	Speed is essential; a crisis threatens survival	Resentment, low morale, higher labour turnover, possible industrial action, reputational damage (P&O Ferries, 2022)

Most successful change programmes combine approaches: communicate early, involve those affected, provide training, and reserve imposition for genuine crises.

Exam Tip: Evaluation in change questions usually turns on *fit*: the best method of managing change depends on its urgency, the culture, the size of the firm, the power of the groups affected (e.g. whether a strong trade union is involved) and the cost. A 20-mark answer that recommends consultation should explain why speed is *not* critical in this case; one that recommends imposition should explain why it is.

3. Scenario planning (3.6.3)

Identifying key risks through risk assessment

Risk assessment identifies what could go wrong and ranks risks by **likelihood** and **impact**. A high-likelihood, high-impact risk needs immediate mitigation; a low-likelihood, high-impact risk needs a

contingency plan; low-impact risks may simply be accepted.

Risk (named in the spec)	Possible impact	Recent examples
Natural disasters — floods, earthquakes, extreme weather, pandemics	Damage to premises and stock; supply chains cut; staff unable to work; demand collapse	The 2011 Japanese earthquake and tsunami disrupted global car and electronics supply chains; Covid-19 closed non-essential retail in 2020; UK flooding regularly shuts shops and farms
IT systems failure — hardware failure, faulty updates, cyber-attacks	Unable to trade, process payments or fulfil orders; data loss; fines; reputational damage	The CrowdStrike faulty update (July 2024) crashed millions of Windows computers, grounding flights; cyber-attacks on M&S and Co-op (April 2025) halted M&S online orders for weeks, with M&S estimating a profit hit of around £300m; a cyber-attack on Jaguar Land Rover in September 2025 stopped its car production for weeks
Loss of key staff — death, illness, resignation, poaching by rivals	Loss of knowledge, relationships and leadership; share-price fall; project delays	Founder-led firms are especially exposed; skilled specialists (AI engineers, surgeons) are hard to replace

Planning for risk mitigation

Business continuity — keeping essential functions going during and after a disruption:

- Identify critical activities and the maximum tolerable downtime for each.
- Back-up systems and data (off-site and cloud), with tested recovery procedures.
- Alternative suppliers and premises; holding buffer stock of critical inputs (a trade-off against just-in-time).
- Remote-working capability — as tested by Covid-19 in 2020.
- Insurance to cover losses and business interruption.

- Crisis communication plans for customers, staff, suppliers and media.
- Regular testing and rehearsals — a plan that has never been tested may fail. A fire at an electricity substation closed Heathrow Airport for most of 21 March 2025, prompting a review of how its back-up power arrangements worked.

Succession planning — preparing for the loss of key people:

- Identify key roles and potential successors; develop them through training, mentoring and job rotation.
- Document knowledge so it is not held by one person.
- Planned handovers: Tim Cook, Apple's chief operating officer, was an established successor when Steve Jobs stepped down in 2011.
- Particularly important in family businesses and founder-led firms.
- Benefits: continuity, investor confidence, motivation (visible promotion paths improve retention). Costs: training, and the risk that an identified successor leaves or others feel overlooked.

Evaluating scenario planning

Benefits	Limitations
Faster, calmer response to crises; less downtime and lost revenue	Costly in time and money for events that may never occur
Reassures investors, insurers, lenders and customers	Cannot anticipate every scenario — “black swan” events such as the pandemic
Can reveal weaknesses (single suppliers, untested back-ups) that can be fixed now	Plans date quickly and must be updated and rehearsed
Required by regulators in some sectors (banking, utilities)	Can create false confidence if plans are not realistic

Exam Tip: Scenario planning questions reward specific, proportionate mitigation. Don't say “the business should plan for all risks”; say which risk is most significant for *this* business (a

single-site manufacturer → fire/flood; an online retailer → IT failure and cyber-attack; a founder-led firm → loss of key staff) and whether the cost of mitigation is justified by the likelihood and impact.

How Edexcel rewards this topic

- **Knowledge:** clear definitions of the causes and of business continuity and succession planning.
- **Application:** identify from the extract what is driving change — new owner, new leader, poor results, PESTLE factor — and the firm's size and culture.
- **Analysis:** chains from cause to effect — e.g. new owner → cost-cutting redundancies → lower morale and productivity in the short term → lower costs and higher margins in the long term.
- **Evaluation:** judge the most significant cause or the most suitable method of managing change, using the context (MOPS: Market, Objectives, Product, Situation).

Common mistakes

- Treating all change as negative — much change is proactive and creates competitive advantage.
- Writing “communicate with staff” as though it solves all resistance — it does not work if staff are going to lose their jobs.
- Confusing business continuity (keeping operations running) with succession planning (replacing key people).
- Ignoring cost: risk mitigation is itself a trade-off.

Quick recall

- Causes: organisational size, poor performance, new ownership, transformational leadership, PESTLE
- Effects: competitiveness, productivity, financial performance, stakeholders — usually short-term costs, long-term benefits

- Key factors: culture, size, time/speed, resistance
- Resistance: fear, loss of status, uncertainty, inertia, distrust — managed by communication, participation, support, negotiation or imposition
- Risk assessment: likelihood × impact; natural disasters, IT failure, loss of key staff
- Mitigation: business continuity (back-ups, alternative suppliers, insurance, tested plans) and succession planning